

CODE

Band money

Draft for member review | 29 September 2026

Plain language summary

A posted budget, a quarterly statement, and the audited statements and remuneration schedule within 120 days of year end. The transparency statute already requires those year-end documents. Honoraria stop if they are late, because the Minister's remedy is discretionary.

Working draft. Not adopted law. Not a legal opinion. Laws cited were read on the Justice Canada consolidations current to 21 September 2026, the Charter and Constitution Act, 1982 consolidation, and the Treaty No. 8 text published by Crown-Indigenous Relations and Northern Affairs Canada. This draft is not a legal opinion.

Part 1. Purpose and the statute

1.1 This instrument sets the budget, the quarterly report, and the audit. The dollar authority to spend sits in the spending instrument.

1.2 The First Nations Financial Transparency Act applies to a First Nation as that Act defines it. Section 3 states its purpose: public disclosure of audited consolidated financial statements and of the schedules of remuneration and expenses of the chief and each councillor, in their official capacity and in any other capacity, including their personal capacity.

1.3 Section 5 requires annual consolidated financial statements in accordance with generally accepted accounting principles, audited by an independent auditor who is a member in good standing of a provincial accountants' body. Section 6 requires a separate document entitled Schedule of Remuneration and Expenses, with an auditor's report or a review engagement report. The schedule does not form part of the consolidated statements.

1.4 Subsection 7(1) requires copies to a member on request. Subsection 7(2) requires the copies without delay, but the First Nation has until 120 days after the financial year ends if the request arrives inside those 120 days. Subsection 7(3) says a fee must not exceed the cost of the service. Subsection 8(1) requires the same documents on an internet site within 120 days after year end. Subsection 8(2) requires they stay available for at least 10 years. Subsection 8(3) says posting does not satisfy a member's request for a copy.

Section 13 says the Minister may, if sections 5 to 8 are breached, require an action plan, withhold grant or contribution moneys, or terminate an agreement. The word in the statute is "may." A member cannot force the Minister to act. Sections 10 and 11 allow a court application, and section 12 says an application for the most recent year may be made only after the 120 days. Those court rights remain. This instrument adds an internal stop on pay so disclosure does not depend on the Minister.

Part 2. Budget

2.1 The finance officer must post a draft budget at least 30 days before council votes on it. Members may file written comments for 14 days. Council must record a response to each comment in the resolution. A budget that was not posted for 30 days is void. Spending under a void budget must be repaid by the person who authorized it, within 30 days.

2.2 Council must pass the budget by resolution before the financial year starts. If it does not, only these payments may be made, and only up to the monthly amount in the last adopted budget: payroll for existing positions, utilities, insurance, and payments already due under a signed contract. New hires, new contracts, grants, and loans must stop. The finance officer must post a notice on the first day of the year if no budget is in force.

Part 3. Reports members can read

3.1 The finance officer must post a quarterly statement within 30 days after each quarter ends. It must show money in, money out, and the balance against the budget, by the same categories as the budget. If it is late, council honoraria stop on day 31 until it is posted.

3.2 The finance officer must give the auditor the books within 30 days after year end. The statements, the auditor's report, and the Schedule of Remuneration and Expenses must be posted within 120 days after year end, and a member who asks must be given copies within the time in subsection 7(2). No fee for the first copy to a member.

3.3 If the documents are not posted by day 120, the finance officer must post a one page explanation on day 121. Council honoraria stop on day 121 until the documents are posted. A direction from a councillor not to post is void. The councillor who gave it is named in the explanation, and that councillor's honorarium stays stopped for 90 days after posting.

3.4 The records officer must keep the documents posted for 10 years. Removing them is a breach. The appeal body must order them restored within 7 days. The person who removed them must not handle the books for the rest of the term.

Part 4. Remuneration

4.1 Remuneration, honoraria, and travel rates must be set by a resolution on which no person votes on their own rate, under constitution section 4.6. The rates must be posted at least 14 days before the vote. A rate that was not posted is void, and the difference above the last posted rate must be repaid within 30 days.

4.2 The Schedule of Remuneration and Expenses must list each person separately. Combining names on one line does not comply. The finance officer must reissue a combined schedule within 14 days of being told. Honoraria stop on day 15 until it is reissued.

Part 5. Amendment

5.1 Council must not amend this band money instrument by resolution. A resolution that purports to amend it is void on the day it is signed. The appeal body must post that fact within 14 days.

5.2 An amendment passes only if a majority of the votes cast are yes and at least 25 percent of the electors cast a ballot.

5.3 The electoral officer must post the full proposed text at least 30 days before the vote. A vote held on shorter notice is void.

5.4 An amendment that removes or weakens a spending limit, a signature rule, a ban on voting on one's own pay, honorarium, travel, or contract, publication of financial statements or the remuneration schedule, a term limit, the fixed election date, the conflict register, a recusal rule, a right-to-information deadline, the whistleblower channel to the appeal body, the independence of the appeal body, the off-reserve councillor position, the rule that one person must not commit more than \$10,000, the open invitation for a contract over \$25,000, the public mandate and the quarterly report, the removal petition, or the rule that members, not council alone, amend a law does not pass under 5.2. It passes only if a majority of all electors vote yes. If that count is not met, the amendment is void.

5.5 The electoral officer must post the count within 3 days.

Part 6. Review and coming into force

6.1 The appeal body must review this band money instrument every 4 years, counted from the day it comes into force, and must post a written report within 60 days after that anniversary. The report does not amend this band money instrument.

6.2 Within 90 days of that report, council must either put a recommended amendment to the electors under Part 5, or post written reasons for not doing so. If council does neither, the appeal body must post that omission on day 91, and council honoraria stop on day 91 until one of those two things is done.

6.3 this band money instrument comes into force on the day after the electors approve it under Part 5. Until that day it is a draft. It does not repeal an election code, by-law, or policy already in force.

6.4 Where a law already in force sets its own replacement rule, this band money instrument replaces that law only if the electors also meet that rule. A lawyer should compare the two texts before the vote.

6.5 The records officer must keep the adopted text posted for at least 10 years. If it is not posted by day 10 after the vote, the records officer must post a written reason that day, and the appeal body must appoint a replacement records officer within a further 10 days.

This is not a legal opinion. A lawyer, or a person whose work is First Nation governance, should review this draft before members vote. A by-law that conflicts with the Indian Act, the Criminal Code, or another federal law is of no effect to the extent of the conflict. Police and Crown prosecution of a band by-law is uneven. The Minister's steps under the First Nations Financial Transparency Act, section 13, are discretionary. The consequences in this instrument are internal for that reason.